

ASIASS MENTORSHIP

Trade with Asiass — Analyze • Execute • Evolve

ICT & SMART MONEY CONCEPTS

LECTURE 03

Module 4: Liquidity & Smart Money

Kill Zones • Displacement • Inducement • Daily Bias

Risk Disclaimer

ICT/SMC is a discretionary chart-reading methodology, not a guaranteed system. Trading leveraged instruments (forex, indices, crypto) carries a high risk of loss. This material is for educational purposes only and is not financial advice. Students should never trade with money they cannot afford to lose, and should practice on a demo account before risking real capital.



Module 4: Liquidity & Smart Money

4.1 — Liquidity

Liquidity is one of the most important things to understand in ICT trading. It's what price is always looking for — pools of resting stop-losses and pending orders that smart money uses to fill large positions.

Buy-Side Liquidity

Buy-side liquidity is found above recent highs.

Sell-Side Liquidity

Sell-side liquidity is found below recent lows.

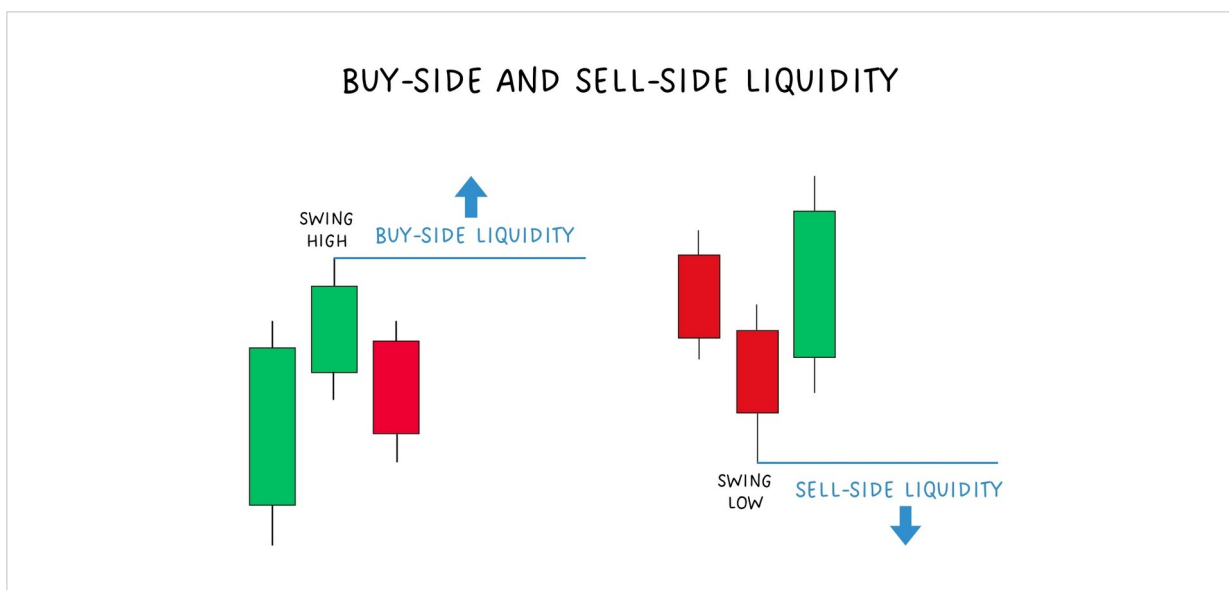


Fig 4.1 — Buy-side liquidity above a swing high, sell-side liquidity below a swing low

4.2 — Displacement

Displacement means a strong move in the market. It's when price moves quickly in one direction, usually right after grabbing liquidity.

Bullish Displacement Move

A bullish displacement means price moved sharply upward. It shows that buyers (smart money) are stepping in and pushing the market higher.

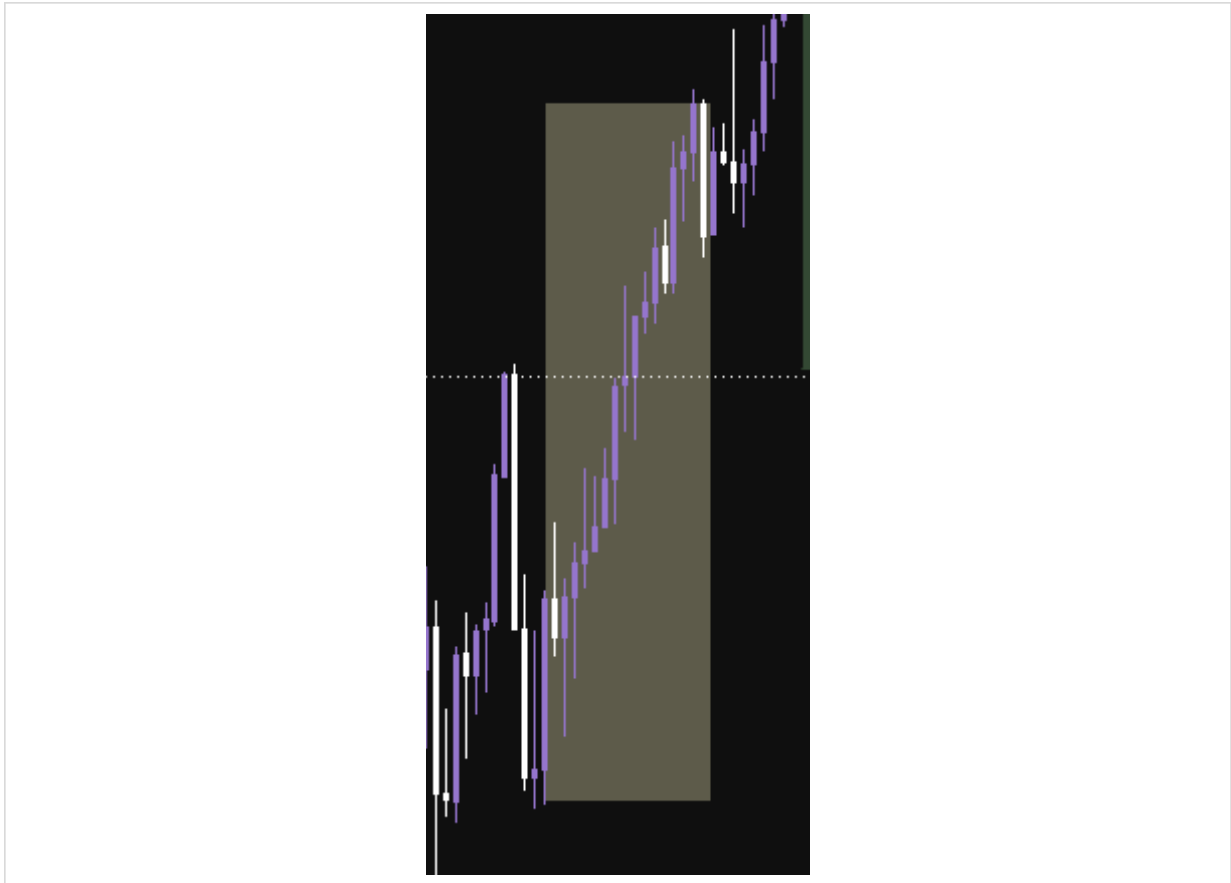


Fig 4.2 — A bullish displacement move, shown as the shaded impulsive leg

Bearish Displacement Move

A bearish displacement is the opposite. It shows that sellers (smart money) are in control and pushing the market lower.

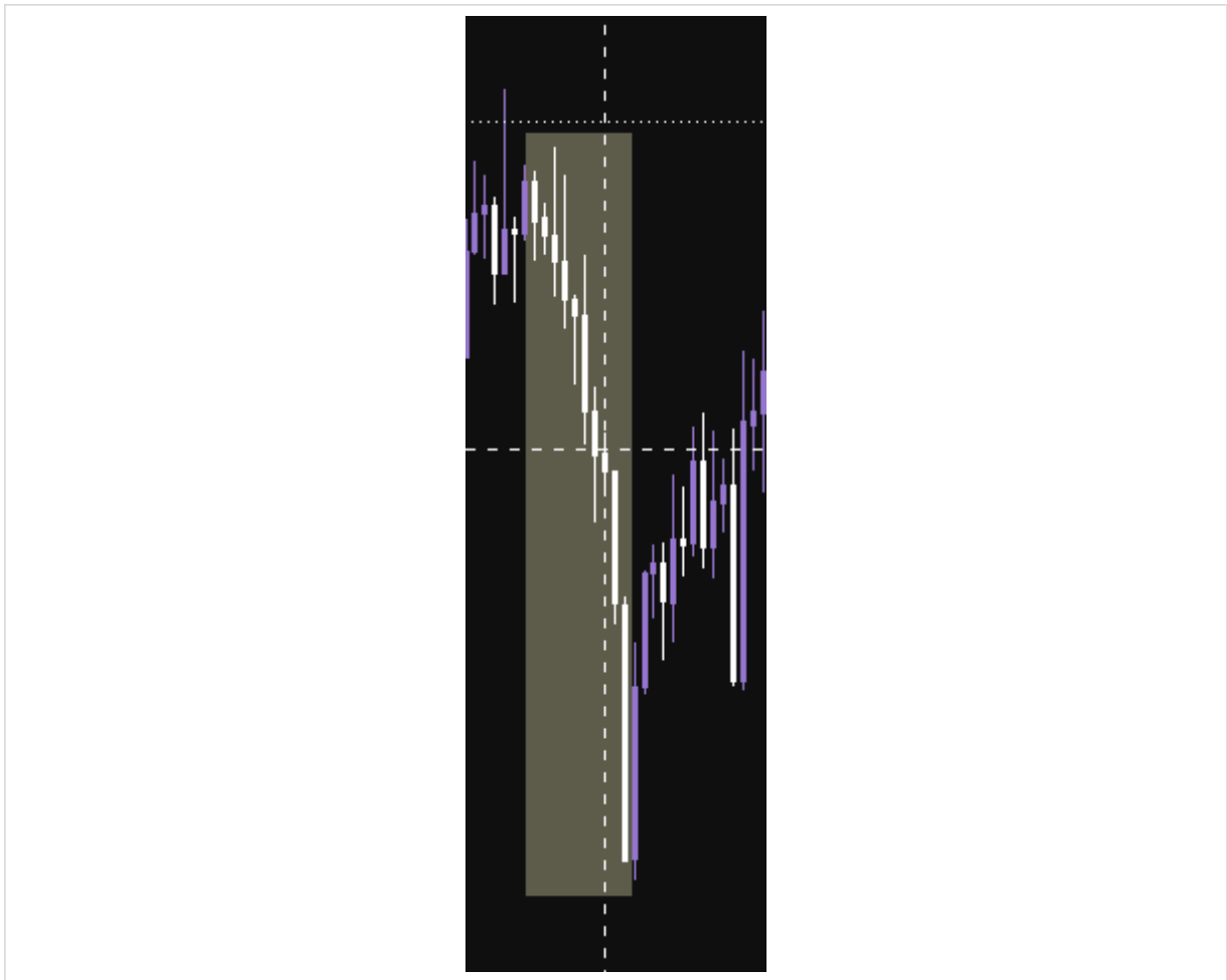


Fig 4.3 — A bearish displacement move, shown as the shaded impulsive leg

4.3 — Inducement

Inducement is a smart money concept in ICT that explains why price often seems to stop you out, just before it moves in the direction you expected. It is a smaller liquidity pool (built from a minor swing) that price sweeps before continuing toward the real move.

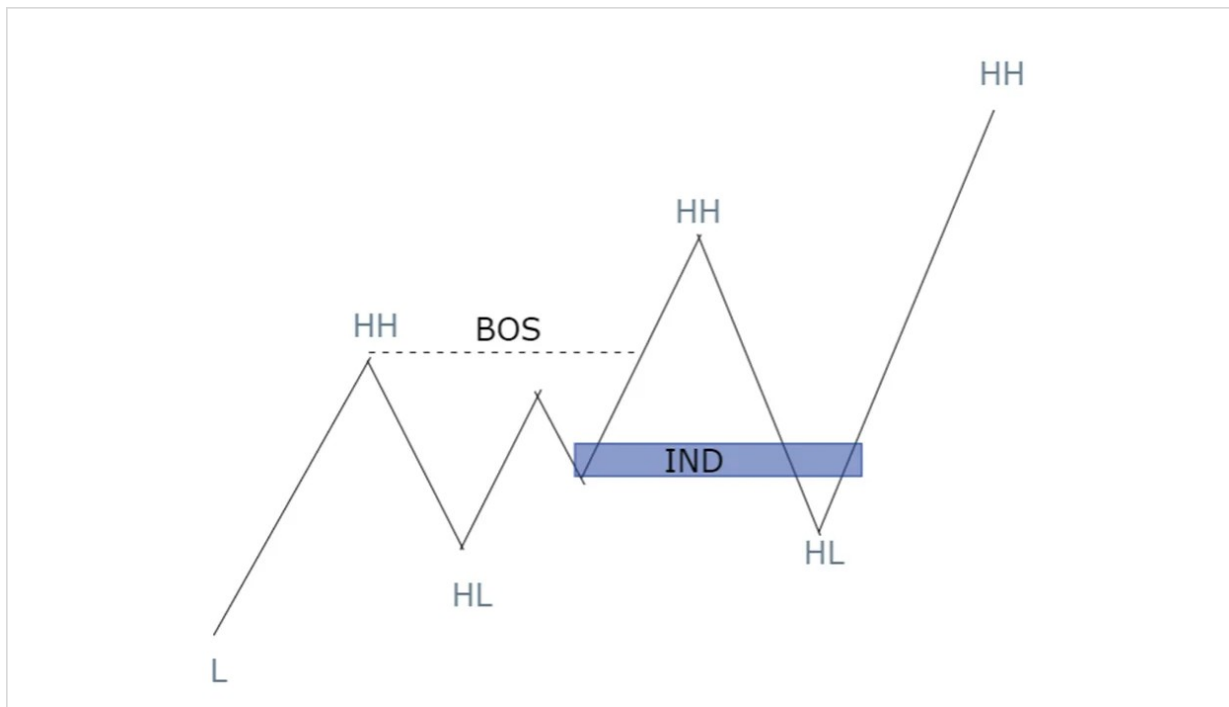


Fig 4.4 — Inducement (IND): a minor liquidity pool swept before the real move toward the next HH

Instructor Tip

Have students trace one full sequence live: mark the buy-side/sell-side liquidity pools first, then find the inducement level between them, then look for the displacement candle that confirms smart money has committed to a direction.

Key Takeaways

- Liquidity is where traders place stop-losses — price moves toward these areas to trigger orders
- Buy-side liquidity sits above recent highs (from short sellers' stops)
- Sell-side liquidity sits below recent lows (from long traders' stops)
- Displacement is a sharp, strong move showing smart money involvement, often leaving a Fair Value Gap (FVG)
- Inducement tricks traders into entering too early — price stops them out before moving in the expected direction

Kill Zones

Forex Kill Zones

These are the main Kill Zones for Forex trading, based on Eastern Standard Time (EST):

- Asia Session — 8:00 PM – 12:00 AM
- London Kill Zone — 2:00 AM – 5:00 AM
- New York AM Kill Zone — 7:00 AM – 10:00 AM



Fig 4.5 — Asia, London, and New York session ranges through a trading day

Instructor Tip

Have students build a personal kill zone reference sheet converted into their own local timezone before the next class — timezone confusion is one of the most common early mistakes.

Daily Bias

The daily bias is your idea of which direction the market is more likely to move today or tomorrow, either up (bullish) or down (bearish). It helps you decide: should I be looking to buy or sell today?

Bullish Bias

A bullish bias suggests that price is more likely to move higher the next day. Look for a close above the previous day's high.

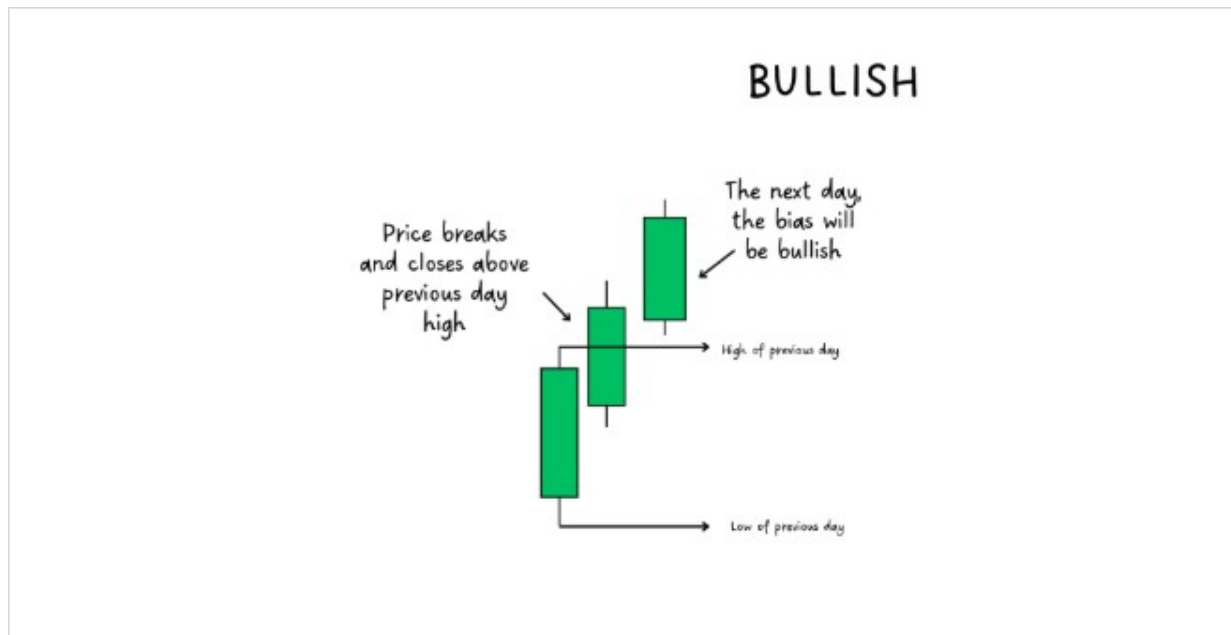


Fig 4.6 — Price breaks and closes above the previous day's high — next day's bias turns bullish

Bearish Bias

A bearish bias suggests that price is more likely to move lower the next day. Look for a close below the previous day's low.

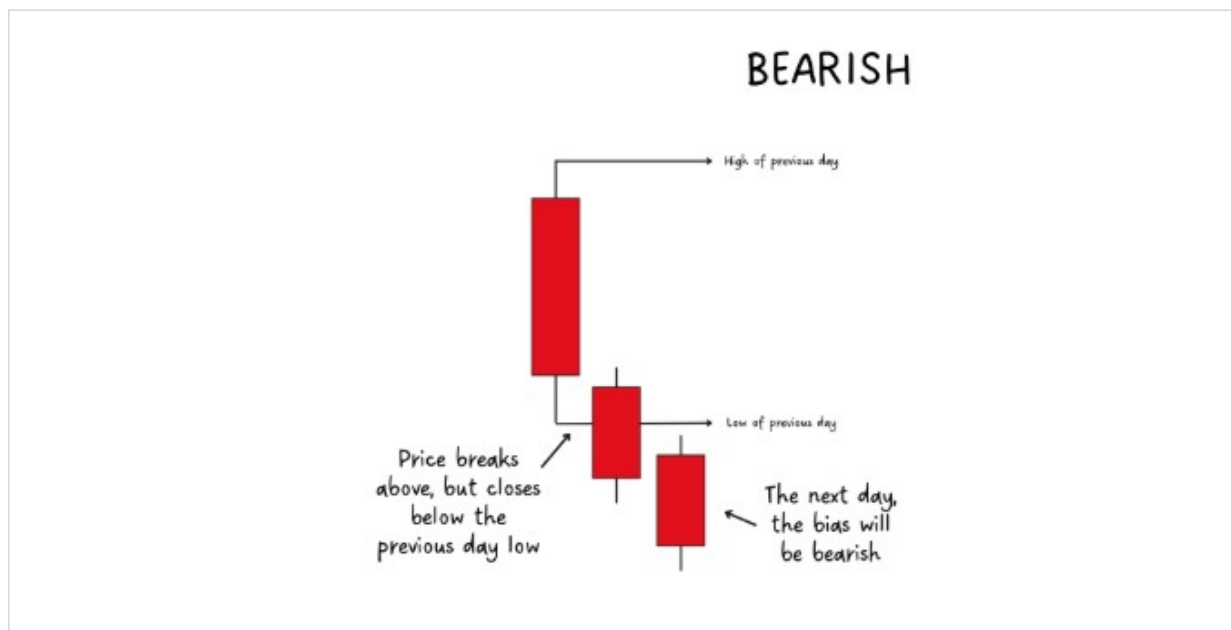


Fig 4.7 — Price breaks above but closes below the previous day's low — next day's bias turns bearish

Instructor Tip

Daily bias is a starting filter, not a trade signal by itself — pair it with the liquidity, displacement, and premium/discount concepts from this course before taking any entry.

Practice Assignment

1. Mark one buy-side and one sell-side liquidity pool on your chosen chart
2. Find one displacement move (bullish or bearish) and note whether it left a Fair Value Gap
3. Find one inducement level swept just before a larger structural move
4. Log which kill zone was active during that move
5. Determine the current daily bias on your pair using the previous day's high/low rule, and write one sentence justifying it

Coming Up in Lecture 04

Stop Hunts / Liquidity Grabs in more depth, and the AMD (Accumulation-Manipulation-Distribution) model — tying liquidity, displacement, and kill zone timing into one repeatable session read.